# Chapter 1: General Norms & Statutory Joint Deposit Requirement

### Clause 1.4: Mandatory Security Deposit Pledged as Joint FDR

Every Technical Institution applying for Establishment or Extension of Approval shall maintain a mandatory Security Deposit in the form of a Fixed Deposit Receipt (FDR) drawn on a Scheduled Commercial Bank. The FDR must be created jointly in the name of the Institution’s sponsoring Society or Trust and the Regional Officer, All India Council for Technical Education (AICTE). No unencumbered standalone deposits shall be accepted. The physical receipt or authenticated electronic certificate shall be deposited with AICTE.

### Clause 1.5: Non-Transferability and Encumbrance Restriction

Under no circumstances shall the pledged Security Deposit FDR be mortgaged, pledged to third parties, or utilized as collateral for loans or credit facilities. Any lien created on the security deposit without express written sanction of the Council shall lead to immediate withdrawal of approval.

# Chapter 2: Minimum Security Deposit Baseline Schedules

### Clause 2.8: Statutory Minimum Deposit Amounts by Program

The baseline security deposit amount for starting a technical institution is structured as follows: 1. Engineering and Technology (Under Graduate): Rupees 35,00,000 (Thirty-Five Lakhs). 2. Pharmacy / Applied Arts and Crafts: Rupees 25,00,000 (Twenty-Five Lakhs). 3. Management (MBA) / Computer Applications (MCA): Rupees 15,00,000 (Fifteen Lakhs). 4. Diploma Level Technical Programs: Rupees 15,00,000 (Fifteen Lakhs). No security deposit shall be accepted below Rupees 5,00,000 (Five Lakhs) under any relaxed category.

### Clause 2.9: Tenure of Security Deposit

The mandatory tenure of the Security Deposit FDR shall be 10 (ten) continuous years for newly established institutions, or 8 (eight) continuous years for stand-alone programs. The institution is obliged to maintain the instrument active throughout the tenure with auto-renewal covenants.

# Chapter 3: Bank Authentication, Signed QR and Verification Protocol

### Clause 3.12: Cryptographic Bank Authentication & Signed QR Standards

All partner banks issuing FDR certificates shall embed a machine-readable Ed25519 digitally signed QR code. The payload must contain the FDR serial, issuing branch IFSC, principal amount, maturity date, and digital signature. Where physical legacy FDRs lack digital signatures, verification shall be obtained through tokenized verify-link mechanisms sent to the bank’s designated nodal officer. AICTE officers must verify trust tiers.

### Clause 3.13: Discrepancy Reconciliation

Any variance between the amount declared by the institution and the amount confirmed by the issuing bank shall trigger an automated high-severity discrepancy flag. The institution shall have 15 days to rectify or provide bank-authenticated addenda.

# Chapter 5: Maturity Monitoring, Renewal Escalation & Reminder Ladder

Clause 5.4: Escalation Ladder Prior to Maturity

To prevent lapse of statutory security cover, the automated system shall issue formal notices: - 60 days before maturity: First advisory to Institution Management. - 30 days before maturity: Second statutory reminder requiring renewal submission. - 15 days before maturity: Escalation to Scrutiny Officer; institution marked as EXPIRING. - 7 days before maturity: Critical notice to Regional Officer. Failure to renew within 15 days post-maturity shall result in status OVERDUE and suspension of portal processing.

# Chapter 6: Release, Refund & Preconditions for Security Deposit

### Clause 6.5: Statutory Preconditions for Deposit Release

Security deposits shall be refunded or released only upon fulfillment of all statutory preconditions: 1. Completion of full stipulated tenure (minimum 8 or) Tj 0 -12 Td (10 years without interruption). 2. At le graduated successfully without unresolved grievances. 3. Zero open compliance flags, vigilance inquiries, or pending court cases involving financial malfeasance. 4. Dual authorization: Scrutiny Officer (Maker) verifies eligibility checklist, followed by independent approval by Senior Officer / Regional Director (Checker).

### Clause 6.6: Refund Certificate & Settlement Voucher

Upon approval, an official release order with SHA-256 cryptographic verification token is issued to the bank. The bank shall remit the deposit amount and accrued interest directly to the registered trust account.

# Chapter 8: Penal Actions for Fraudulent FDRs, Collusion Rings & Forgery

### Clause 8.2: Cross-Institution Duplicate Serial and Collusion Rings

Submission of an FDR serial number, document hash, or deposit certificate already pledged by another institution constitutes gross regulatory fraud and syndicated collusion. AICTE shall immediately: 1. Issue immediate show-cause notice and freeze admission approval. 2. File First Information Report (FIR) under relevant sections of Bharatiya Nyaya Sanhita (BNS) / IPC for forgery. 3. Blacklist trustees and refer issuing branch officers to RBI and Indian Banks Association (IBA).